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Calderhall Cells Limited

FAO Mr Gordon Maddox, Director

Calderhall Works, Sheffield Road, Rotherham S60 1DX

By email and by post

Our ref: SW/EM/VES-0125

7 February 2025

Dear Sirs

LETTER BEFORE ACTION

Verdant Energy Systems Limited and Calderhall Cells Limited — Cell Supply Agreement dated 22 May 2024

We act for Verdant Energy Systems Limited ("our client" or "Verdant") in connection with the above. This letter is sent in accordance with the Practice Direction on Pre-Action Conduct and Protocols. Please read it carefully and refer it to your insurers and to any solicitors you instruct.

The Agreement

By the Cell Supply Agreement dated 22 May 2024 (the "Agreement") your company agreed to manufacture and supply to Verdant three module strings of CH-280 lithium iron phosphate cells (Strings A, B and C), each comprising 6,720 cells, for incorporation into Verdant's 50 MW / 100 MWh battery energy storage facility at Brackmoor Lane, Goole. The aggregate price was £2,940,000, which Verdant paid in full by 14 October 2024.

By clause 6.1 of the Agreement you warranted that the cells would conform to the Schedule 1 specification, be free from defects in design, material and workmanship, and be manufactured in accordance with your ISO 9001 quality system and the safety requirements of IEC 62619 and UN 38.3.

The defects

During commissioning testing between 11 and 22 November 2024, String B exhibited accelerated capacity fade (nine of 28 modules falling below 88% of nameplate within 40 cycles), cell-to-cell voltage divergence beyond the 30 mV tolerance, and localised internal heating in three modules, two of which tripped the facility's thermal-protection interlocks. Verdant suspended commissioning of String B and notified you on 25 November 2024. A joint inspection took place on 3 December 2024.

Verdant instructed Wraysbury Materials Laboratory, whose report of 24 January 2025 identified cathode-coating delamination, inconsistent electrode loading, particulate separator contamination and lithium plating — all manufacturing defects originating in your production process. As the cells derive from the same campaign as Strings A and C, Verdant has been required to screen and accelerated-age test those strings before energisation.

Breach and loss

The cells comprised in String B did not conform to the warranties in clause 6.1 and were not of satisfactory quality or fit for purpose, in breach of the Agreement and of sections 13 and 14 of the Sale of Goods Act 1979. As a direct result, energisation of the Brackmoor facility was delayed by approximately eight weeks beyond the contractual date of 13 December 2024.

Verdant's losses, particularised in the enclosed draft Schedule of Loss, total **£2,475,200**, comprising replacement cells and modules (£1,015,000), removal and reinstallation (£268,400), investigation and testing (£74,600), extended preliminaries (£193,200), liquidated damages paid to Verdant's EPC counterparty (£640,000) and lost availability revenue (£284,000).

What we require

We require your written proposals to (i) replace the non-conforming cells or refund their price, and (ii) compensate Verdant for its consequential losses, within **14 days** of the date of this letter. If we do not receive a substantive response within that period, our client reserves the right to issue proceedings without further notice and to rely on this letter on the question of costs.

We invite you to confirm whether you are prepared to engage in alternative dispute resolution, which our client is willing to consider.

We look forward to hearing from you.

Yours faithfully

Whitfield Carter LLP

Enc: draft Schedule of Loss; Wraysbury Materials Laboratory report (summary)